Pricing That Pays Off: Data-Driven Fees for Wealth & Fintech

What telco tariffs and grocery price tags taught me about wealth management fees



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About Me: The Glue Between Business and Engineering



Veon (Telco)

- Built pricing, billing & commercial platforms
- Scaled across multiple emerging markets

McKinsey (Consulting)

- Led pricing & commercial analytics
- Telcos + large retailers (grocery, consumer electronics)
- CIS & Southeast Asia

Lionsoul Global (WealthTech)

- Head of Strategic Projects
- HNWI digital-asset wealth management
- Bridge between business strategy & engineering

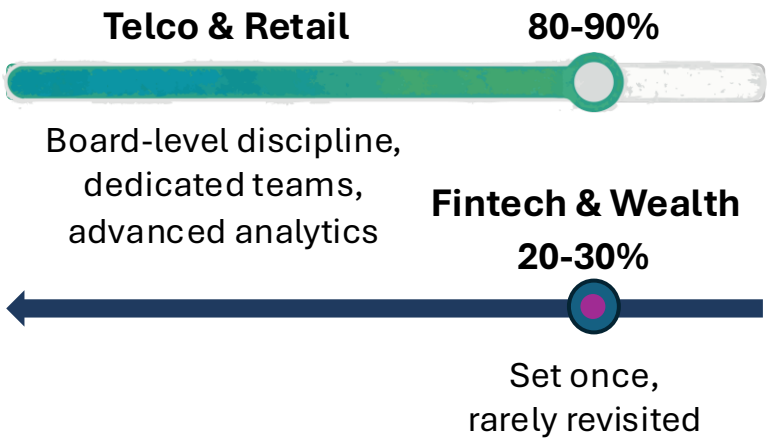
Same pricing problems, three industries. The frameworks transfer - the stakes escalate.

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Why Pricing Deserves More Attention in Fintech

Telco & Retail: Pricing Maturity

- Board-level discipline with dedicated teams
- 1% price improvement = 11% operating profit lift (McKinsey)
- Real-time competitive monitoring
- Advanced analytics: elasticity, conjoint, A/B testing



10 bps fee misalignment on $100M AUM = $100K/year left on the table

Fintech & Wealth: The Gap

- Fee structures set at launch, rarely revisited
- Ad-hoc competitive analysis (quarterly at best)
- Limited price sensitivity measurement
- “The fee is 1.5%” - no data behind the number

When was the last time your fee structure had a proper data-driven review?

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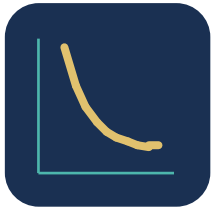
Data-Driven Pricing Principles: The Universal Toolkit



Key Value Items (KVIs)

The 5-10% of prices customers actually compare.

Telco: headline tariff · Grocery: milk, bread · Wealth: management fee



Long-Tail Pricing

Where real margin lives, largely invisible to customers.

Telco: roaming, bolt-ons · Retail: private label · Wealth: platform fees, FX



Price Elasticity

Measured response curves, not gut feel.

How volume/retention responds to price changes



Price Architecture

Good-Better-Best tiers, bundling logic, anchor pricing.
Deliberate relationships between price points



Competitive Benchmarking

Systematic tracking, not a one-off exercise.
Continuous capability with automated data collection



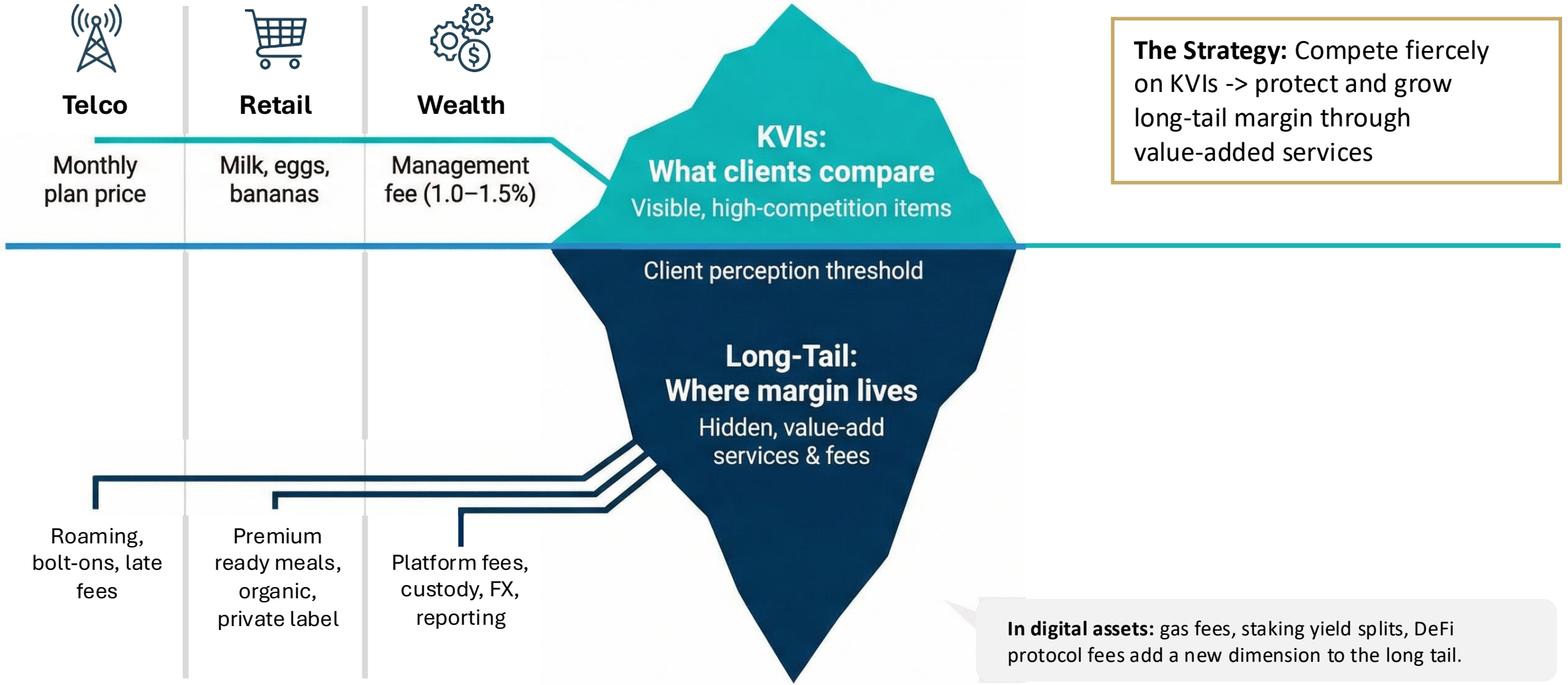
Promo & Discount Discipline

In retail, promo ROI is measured rigorously.
In fintech, fee waivers are often ad-hoc and unmeasured

These principles are industry-agnostic - the art is in the translation.

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KVIs and Long-Tail: Where Perception Meets Margin



The Strategy: Compete fiercely on KVIs -> protect and grow long-tail margin through value-added services

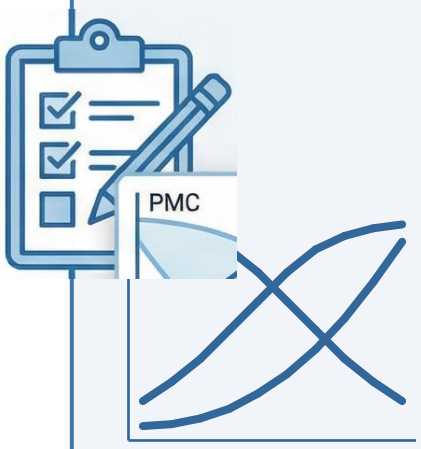
In digital assets: gas fees, staking yield splits, DeFi protocol fees add a new dimension to the long tail.

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Price Sensitivity: From Conjoint Analysis to Behavioral Signals

Traditional Methods

What Works in Telco & Retail:



- **Conjoint analysis** – decompose price/feature trade-offs
- **Van Westendorp PSM** – find the acceptable price range
- **Gabor-Granger** – direct price testing at multiple levels
- **A/B testing at scale** (thousands of users per variant)

What changes

WealthTech Adaptation

What Works for HNWI Wealth:

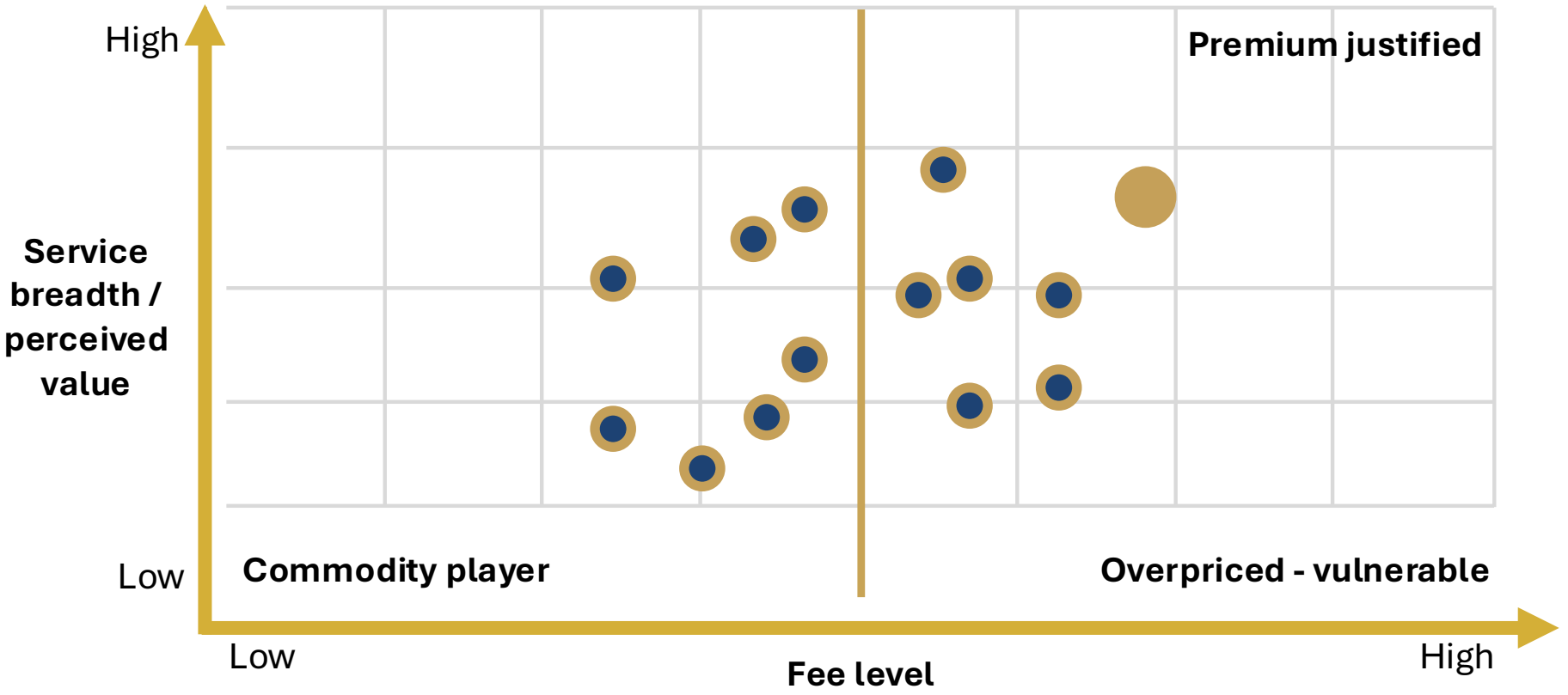
- RFP win/loss rates segmented by fee tier
- Churn correlation with fee changes (survival analysis)
- AUM inflow velocity at different fee levels
- Competitive switch patterns – where lost clients go, and at what fee
- NPS tied to fee discussion touchpoints



Caution: in regulated finance, pricing experiments have compliance guardrails (MiFID II suitability, SEC fiduciary standards)

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Competitive Benchmarking: From Ad-Hoc to Systematic

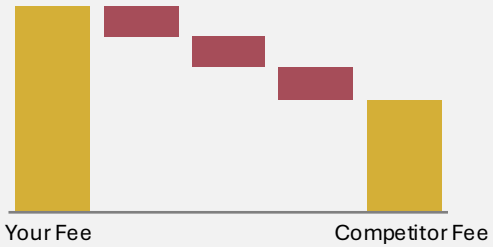


Data Sources

- Fund factsheets & ADV Part 2 filings
- Public fee schedules
- Industry surveys (Cerulli, Oliver Wyman)
- LLM-assisted extraction from regulatory PDFs

The Price Gap Waterfall:

decompose the gap between your fee and competitor's into explainable value drivers

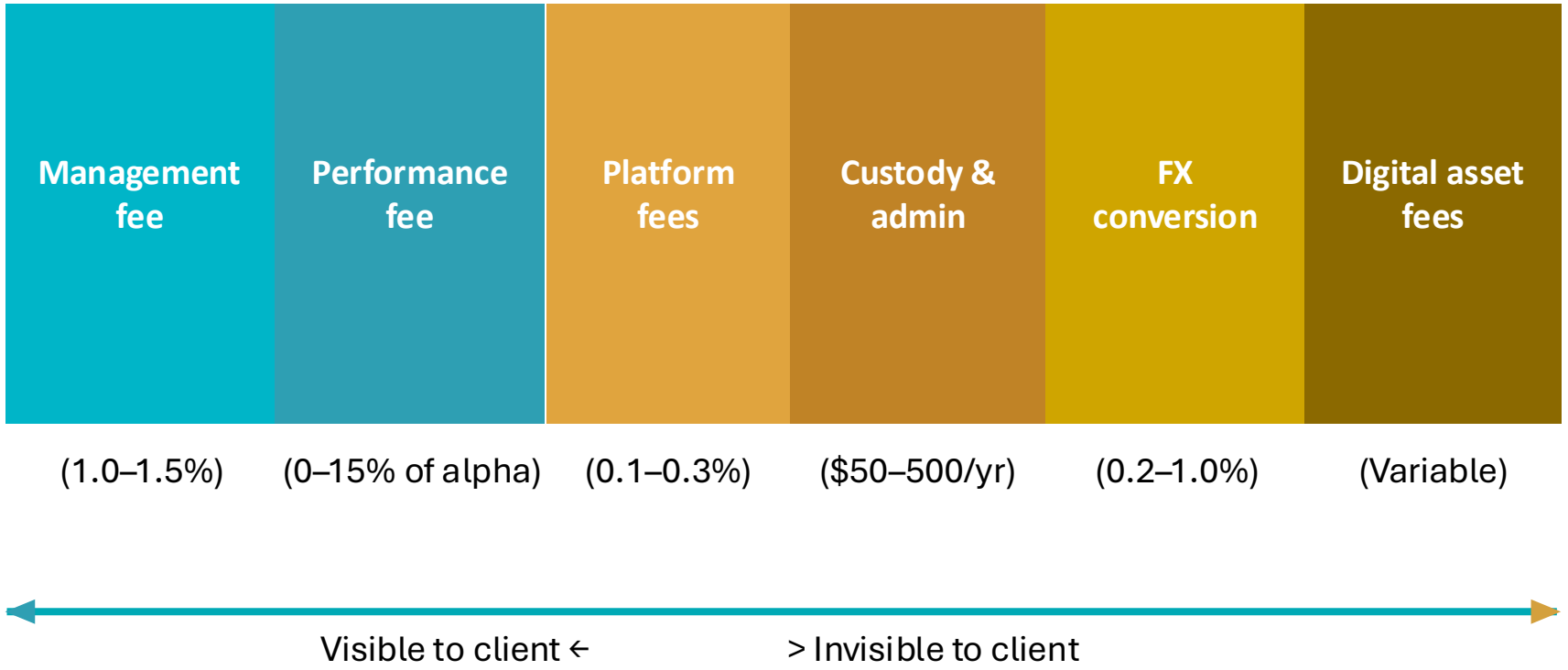


Update cadence:

quarterly refresh minimum, triggered refresh on competitor moves

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Translating to Wealth & Fintech Fee Structures



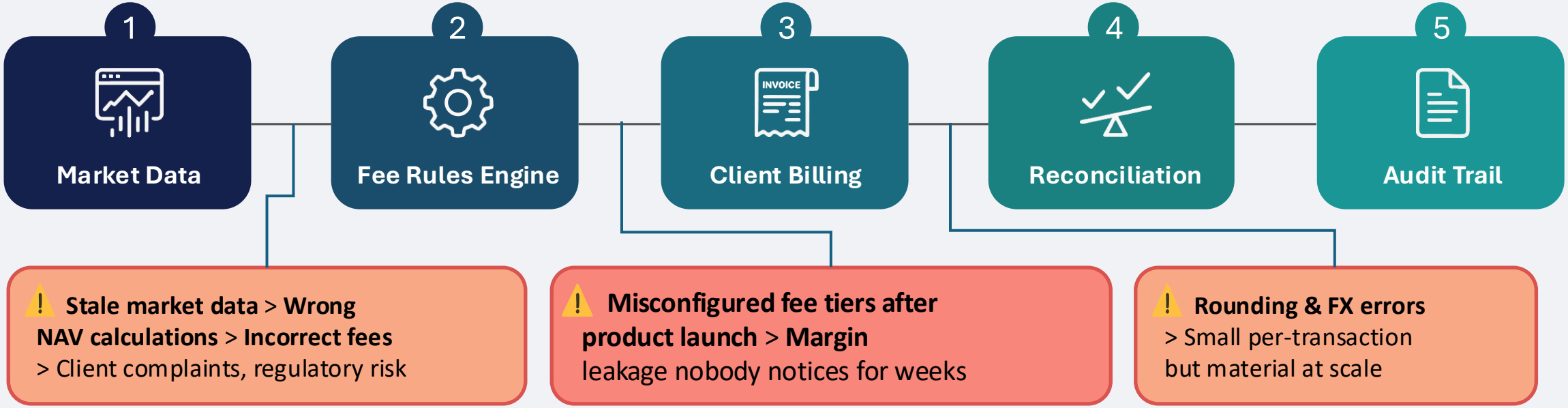
Key Principle:

Separate the **“shop window” fee** (transparent, competitive) from the **“value-add” margin** (justified by service quality and stickiness)

Rule: map every fee to a client value driver. If you can’t articulate why the client should pay it, the fee is vulnerable.

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The Pricing Engine: Where Business Logic Meets Operations



The Silent Failure Problem

System is up. Responses are fast. Latency is green. **But the numbers are wrong.** This is the pricing equivalent of a passing health check with an **undetected tumour.**

Business-driven SLO

99.95% of management fee calculations accurate within 0.1 bps

Error budgets as shared decision tool: mispricing within budget > ship new models; burning budget > stabilise first

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Observability: Watching the Business, Not Just the System

Traditional Monitoring: Is the system up?

CPU	Memory:	Latency:	Error Rate:
OK	OK	45ms	0.0%

Yes.

Pricing Observability: Are the numbers right?

- Fee deviation from benchmark: +12 bps drift
- Spread compression: -8 bps this quarter
- Revenue per client: Trending down 3%
- Reconciliation match rate: 99.7%

Check.

Alert Design Principle

Tier alerts by revenue impact, not technical severity:



- Tier 1 (red): $10K+ mispricing > immediate escalation
- Tier 2 (amber): Spread compression detected > investigate within 24h
- Tier 3 (green): 500ms latency spike > monitor

Reconciliation is observability. Dashboard for business teams, not just engineers - shared accountability.

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Incident Response & Change Management for Pricing

Pricing Incident Flow

Warning: discovered days later

1. Detect
Often discovered days/weeks later (client complaint, audit finding, reconciliation mismatch)

2. Isolate
Which calculations are affected? Which clients? Which time period?

3. Quantify $
Total dollar impact on affected clients

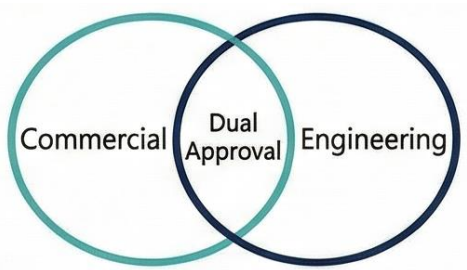
4. Root Cause
Was it data, configuration, logic, or process?

5. Remediate
Fix and reprocess affected calculations

6. Compensate & Post-mortem
Client remediation + lessons learned

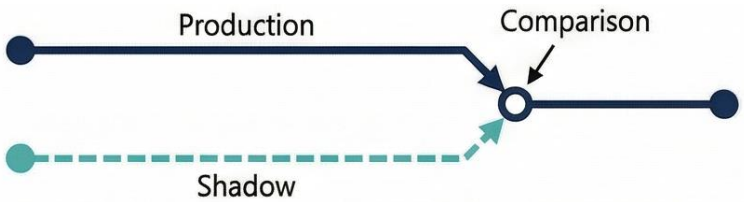
Change Management

Dual Approval Gate



Every fee schedule change requires sign-off from both Commercial AND Engineering

Shadow Pricing



Run new pricing logic in parallel with production > compare outputs before cutover. Standard in telco. Rare in fintech. Should be universal.

Golden Test Dataset

- Known-good calculations covering edge cases: multi-currency, tiered fees, performance fee crystallisation.

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AI-Augmented Pricing: What's Coming Next

Available now



Competitive Intelligence

LLMs extract fee data from regulatory filings (ADV Part 2, prospectuses) at scale

Data processing 50× faster; analyst productivity +20–30%

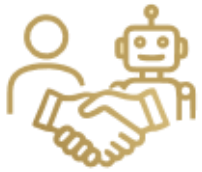
Emerging



Dynamic Pricing

Real-time fee optimisation based on market conditions, client segment, competitive positioning

Adaptive pricing that responds to market regime shifts



Human-in-the-loop remains essential: AI proposes, humans approve

Emerging



Predictive Analytics

Forecast client sensitivity to fee changes before you make them

Model impact of pricing decisions on retention and AUM

Future



Personalised Fee Structures

AI-driven fee proposals tailored to individual client value, risk profile, relationship depth

From static schedules > intelligent adaptive pricing

Risk: AI pricing without governance = black box + regulatory exposure (EU AI Act: bias testing mandatory)

Key Takeaways

1. Data-driven pricing is industry-agnostic
Same KVI, long-tail, and elasticity principles work across telco, retail, and fintech

2. Cross-industry experience is a superpower
If you've solved pricing in telco or retail, you have 80% of the wealth management framework

3. Competitive benchmarking must be systematic
Continuous capability, not a quarterly exercise

4. Pricing is a reliability concern
SLOs for accuracy · Error budgets for change · Observability for business metrics

5. AI is accelerating the shift
From static fee schedules > dynamic, personalised, data-driven pricing

Start here: Pick one fee type > benchmark it against competitors > measure client sensitivity > define an accuracy SLO > expand

SCAN ME

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